COURSE NOTES — BLOCK I: STRATEGY & COMPETITIVE ENVIRONMENT

Value Creation: Environment and Competitive Advantage

Official Course Sources: Lecture Slides Topic 2 (Prof. Carmen Paz-Aparicio) & Practice 2 (Prof. Juan Repiso) • UC3M Aerospace Engineering

1. Business Objectives and the Creation of Value

As per the Classical Theory, the business objective is **profit maximization**, and it is identified with the entrepreneur's objective [Slide 3]. The slide lists four limitations:

1. The term profit is difficult to define and quantify.
2. It does not take into account the risk associated with achieving profits.
3. The concept of maximization.
4. Excessive leading role of the entrepreneur: separation of ownership and control.

To avoid the conflict of interests, management and shareholder objectives must be aligned (incentive compensation, with the market of enterprises, the labour market and the markets of the factors of production acting as disciplines). Management will try to maximize its own interests, always subject to a minimum level of profit that satisfies shareholders [Slide 4].

STAKEHOLDERS AND ORGANIZATIONAL THEORY [SLIDE 5, SLIDE 6]

The stakeholders shown on the slide are management, shareholders, society (CSR), banks and other financial agents, customers, suppliers, the State, and employees / labour unions [Slide 5]. Under organizational theory the business objective is the **outcome of a negotiation process** between stakeholders, limited by the **survival goal**. Not all groups have the same decision-making power: the objective is the one that satisfies the group with higher bargaining power, taking into account the objectives of the other groups and the survival of the enterprise. Hence: **maximize the value of the enterprise, i.e. create value** [Slide 6].

A **unified vision: survival, profit and growth** [Slide 7]: products/markets (current and new) generate sales and profits; profits are split into dividends and retained profits (kept for future investments); equity attributable to investors and total equity feed the capital-market valuation of the company.

Standard reference, not on the slides: the behavioural theory of the firm is usually attributed to Cyert and March (1963).

2. Business Strategies and Types

To achieve the business objective the firm defines a **strategy**, which entails strategic, tactic and operative decisions [Slide 8]. The deck quotes the Wordsmyth Dictionary: strategy is "a plan, method or series of actions designed to achieve a specific goal or effect". The strategic management process runs: mission statement, performance objectives, develop strategies, strategy implementation, evaluation of performance [Slide 16].

Standard reference, not on the slides: strategic decisions are long-term and commit substantial resources, tactical decisions are medium-term implementations, operative decisions are short-term and day-to-day. The slides give no further definition of the three levels.

Corporate Strategy [Slide 17, Slide 18]

"Which businesses should we be in?" Concerned with *where* a firm competes, i.e. the scope of its activities:

- **Product scope:** diversification.
- **Geographical scope:** internationalization.
- **Vertical scope:** vertical integration.

Business Strategy [Slide 17, Slide 18]

"How should we compete?" Concerned with how a firm competes within a particular market:

- **Cost leadership strategy.**
- **Differentiation strategy.**

Both together answer *how do we make money?*, i.e. a rate of profit above the competitive level [Slide 17]. Scope examples [Slide 19, after Grant, 2002]: steel, steel sheet and steel cans in three companies or one (vertical); can plants in the US, UK and Italy as three companies or one multinational (geographical); metal cans, plastic packaging and domestic appliances separate or merged (product). A successful strategy has long-term, simple and agreed objectives, a deep understanding of the competitive environment, an objective appraisal of resources, and effective implementation [Slide 10].

3. Corporate Scope: Diversification and Vertical Integration

Diversification [Slide 25, Slide 26]

Diversification decisions involve two issues: how attractive the sector to be entered is, and whether the firm can achieve a competitive advantage there. Reasons: **growth** (escape from declining industries such as tobacco, oil, newspapers), **risk** (reduces earnings volatility) and **profit** (combining businesses may increase profitability).

- **Related diversification:** the business expands its existing product lines or markets.
- **Unrelated diversification:** the business adds new or unrelated product lines or markets.
- **Forms:** vertical integration (along your value chain); horizontal diversification (moving into a new industry); geographical diversification (opening new markets).

Vertical Integration [Slide 27]

Vertical integration can be **forward** or **backward**.

Advantages	Disadvantages
Inputs/outputs control	Increased risk (outsourcing)
Reduction of transaction costs	Decreased flexibility
Independency	Loss of specialization advantages
Better competitive position	Increased administrative costs
Reduced information asymmetries	

4. Sources of Competitive Advantage [Slide 20]

Competitive advantage comes from **cost advantage** (a similar product at lower cost) or **differentiation advantage** (a price premium from a unique product).

Drivers of Cost Advantage [Slide 21, Slide 22]

1. *Economies of learning:* improved organizational routines.
2. *Economies of scale:* specialization and division of labour.
3. *Production techniques:* process innovation; reengineering business processes.
4. *Product design:* standardizing designs and components; design for manufacture.
5. *Input costs:* location advantages; ownership of low-cost inputs; non-union labour; bargaining power.
6. *Capacity utilization:* ratio of fixed-to-variable costs; speed of capacity adjustment.
7. *Residual efficiency:* organizational slack; motivation and culture; managerial efficiency.

Differentiation [Slide 23, Slide 24]

How a firm distinguishes its offerings from those of competitors: "providing something unique that is valuable to the buyer beyond simply offering a low price" (M. Porter). The key is to create value for the customer.

- **Tangible:** observable characteristics (size, colour, materials), performance, packaging, complementary services.
- **Intangible:** unobservable, subjective characteristics appealing to image, status, identity and desire for exclusivity.
- **Total customer responsiveness:** the whole relationship between supplier and customer, not just the product.

5. The Business Environment [Slide 11, Slide 12, Slide 13]

The **generic environment** comprises four groups of factors [Slide 11]:

Factor	Items on the slide
Economic	Macroeconomic variables; business-cycle period; type of economic policy; country resources.
Political-legal	Monetary and fiscal policies; labour-market regulation; industry regulation.
Socio-cultural	Value system; level of education; class structure; income distribution; population distribution; etc.
Technological	Basic, key and incipient technologies.

The **specific environment** [Slide 12] covers the relationship with suppliers and customers, substitutes, rivalry within the industry (concentration, industry rate of growth, product differentiation) and barriers to entry and exit. [Slide 13] places the industry environment (suppliers, competitors, customers) inside the national/international economy, technology, government and politics, the natural environment, demographic structure and social structure.

Standard reference, not on the slides: the PESTEL framework (Political, Economic, Socio-cultural, Technological, Environmental, Legal) is a common textbook expansion of these factors and is used in the vault's concept note; the course slides name only the four factors above.

6. Industry Analysis: Porter's Five Competitive Forces (Porter, 1982) [Slide 14, Slide 15]

The five forces are rivalry among existing firms, bargaining power of suppliers, bargaining power of buyers, threat of substitutes and threat of new entrants [Slide 14]. The determinants on [Slide 15] are:

Force	Determinants on the slide
Industry rivalry	Concentration; diversity of competitors; product differentiation; excess capacity and exit barriers; cost conditions.
Supplier power	Suppliers' price sensitivity; relative bargaining power.
Buyer power	Buyers' price sensitivity; relative bargaining power.
Threat of entry	Capital requirements; economies of scale; absolute cost advantage; product differentiation; access to distribution channels; legal/regulatory barriers.
Substitute competition	Buyers' propensity to substitute; relative prices and performance of substitutes.

7. Internal Value Chain Analysis (Porter, 1985) [Slide 28-31]

Organizations are more than a random compilation of resources: they arrange resources into systems and activities that yield products customers are willing to pay for; managing these activities and their linkages gives competitive advantage [Slide 28]. The value chain diagram shows support activities (Firm Infrastructure, Human Resources, Technology Development, Procurement) above primary activities (Inbound Logistics, Operations, Outbound Logistics, Marketing and Sales, Service), leading to the Margin [Slide 29].

Primary Activities [Slide 30]

- **Inbound Logistics:** relationships with suppliers; all activities required to receive, store and disseminate inputs.
- **Operations:** all activities required to transform inputs into outputs (products and services).
- **Outbound Logistics:** all activities required to collect, store and distribute the output.
- **Marketing and Sales:** inform buyers about products and services, induce them to purchase and facilitate the purchase.
- **Service:** keep the product or service working effectively for the buyer after it is sold and delivered.

Secondary (Support) Activities [Slide 31]

- **Procurement:** the acquisition of inputs, or resources, for the firm.
- **Human Resource Management:** recruiting, hiring, training, developing, compensating and, if necessary, dismissing or laying off personnel.
- **Technological Development:** equipment, hardware, software, procedures and technical knowledge used in transforming inputs into outputs.
- **Infrastructure:** serves the company's needs and ties its parts together (accounting, legal, finance, planning, public affairs, government relations, quality assurance and general management).

Standard reference: margin is the difference between the value customers pay and the total cost of performing the activities; the slide shows it only graphically [Slide 29]. Reference on the slide: Porter (1985), *Competitive Advantage*, Ch. 1, pp. 11-15.